

Duplicate Wire Transfer Submissions Due to Client Retry Storm

Meridian Commercial Bank - Internal Document

doc_id:	INC-2026-02-27-004
document_type:	incident
department:	payments
access_level:	internal
created_date:	2026-02-27
severity:	critical
status:	resolved

Summary

A retry storm from the Business Banking web client caused 214 wire transfer requests to be submitted more than once to the Wire Transfer Service (WTS) between 11:02 and 11:19 UTC on 2026-02-27. 37 of these resulted in duplicate wires being sent before the issue was caught.

Timeline

- 11:02 - WTS API latency increases due to an unrelated downstream compliance screening service slowdown (average response time 800ms to 6200ms).
- 11:04 - Business Banking web client's request layer, which has a 5-second timeout and automatic retry (up to 3 attempts) with no idempotency key, begins retrying slow-but-in-flight wire submissions.
- 11:06 - WTS request volume spikes 3.5x normal.
- 11:14 - Duplicate-transaction detection job (runs every 10 minutes) flags 37 potential duplicate wires already submitted to the correspondent bank network.
- 11:19 - Client-side retry logic identified as root cause; feature-flagged off for the Business Banking web client.
- 11:45 - Payments Operations begins manual recall/reversal process for the 37 duplicate wires with the correspondent bank.
- 16:30 - 34 of 37 duplicate wires successfully recalled; 3 required direct customer contact and manual reversal, completed by 2026-02-28.

Root Cause

Two contributing factors: (1) the compliance screening service slowdown increased WTS end-to-end latency past the client's 5-second timeout, and (2) the Business Banking web client's retry logic did not attach an idempotency key to wire submission requests, so WTS could not distinguish a retried request from a genuinely new wire.

Impact

- 37 duplicate wire transfers sent, total duplicate value approximately \$1.86M.
- 34 recalled same-day; 3 required manual customer-facing resolution.
- No permanent customer funds loss; full recovery within 30 hours.
- Reputational risk flagged given direct customer/counterparty impact.

Resolution

- Disabled client-side auto-retry for wire submission pending idempotency key support.

- Manual recall process executed by Payments Operations.
- Emergency scaling applied to the compliance screening service.

Action Items

1. Require idempotency keys on all wire submission endpoints; reject duplicate submissions server-side (Owner: Payments Platform, Due: 2026-03-20) - HIGH PRIORITY.
2. Audit all client applications (web, mobile, partner API) for retry logic on payment-initiating endpoints without idempotency keys (Owner: Engineering, Due: 2026-03-31).
3. Reduce duplicate-detection job interval from 10 minutes to 1 minute for wire transfers specifically (Owner: Payments Platform, Due: 2026-03-06).
4. Add compliance screening service to the payments platform's critical dependency SLO dashboard (Owner: SRE, Due: 2026-03-13).

Related Incidents

Root cause category (missing idempotency protection) is new to this incident cluster; prior 2025 incidents were capacity/connection related. Recommend a cross-cutting review of idempotency coverage across all payment initiation paths.